

NASSCOM as one of the six hottest tech sectors expected to grow significantly in the next few years.

While there have been widely varying estimates from different industry research organisations on the current size and growth rates of this market, independent research suggests that about 4,000 professionals are employed in various analytics services businesses in India and this talent pool is rapidly growing at about 40 per cent annually. The key limitation of these estimates is that there isn't an industry-standard definition for what constitutes "analytics services", which is a subset of what is now commonly termed the knowledge services or the knowledge process outsourcing (KPO) services industry.

In recent years these jobs are with several specialist service providers and global third-party services providers as well as captive centres that have set up analytics services teams to feed such growing market demand.

Key drivers of growth

The key driver of growth is the fact that any industry and any company would require this service. Whether they build this skill set in-house or outsource it to a vendor; in the future this service would be required in a big way. However, various industry research organisations have opined that enterprises are more likely to source knowledge services from their in-house or captive centres, rather than outsourcing such activities to third party service providers. The reasons for this include the business sensitivity of the data, inherent intellectual property protection issues and the need to build and maintain such organisational skills and capabilities in-house for sustained competitive advantage.

Whether in-house or outsourced, the industry has to acquire talent or build over time to meet the growing demand. In India, due to the increase in outsourcing and software industries, data mining has become an important segment of technical work. To the world, India is well known as the back office. Apart from customer care and tech support, many outsourcing companies are venturing into data mining with the increase in demand from overseas. The analytics services industry thus presents the opportunity for India to transcend the realm of labour arbitrage into high value professional services with higher revenue and margin realisations. Five years ago, the volume of outsourced work to India sent a great deal of fairly low-end work over here. Today, however, the quality of work being outsourced to India has improved, and we can expect more high-value work to come in.

Source: Analytics Services in India: A Talent Perspective, Dec 2008, CareerNet Research Publication

Types of data Analytics:

☐ Reporting or Descriptive Analytics

As organizations go about their business, they gather a lot of information on sales, volumes, prices at the distributor level, retailer level and about competition. This information helps them to get a sense of the current health of business and possible future trends.

☐ Modelling, or Predictive Analytics

Predictive Analytics refers to the art and science of analysing and finding patterns in data to build-up predictive recommendations. These recommendations can range from which type of customer to call by phone for a credit card or insurance, to which type of mobile scheme to offer to a cell phone customer by SMS, or to which kind of customers are likely to default on the loans they